

Apple Expands AI Features Across Product Line with Apple Intelligence 2.0

Siri overhaul, on-device AI processing, and new Generative tools drive iPhone 17 upgrade cycle

By Tech Markets Desk | October 15, 2025

0B	FY2025 Revenue	\$96.2B	Services Revenue	\$93.7B	Net Income	\$3.1T	Market Cap (approx)
----	----------------	---------	------------------	---------	------------	--------	---------------------

Apple unveiled a sweeping expansion of its Apple Intelligence platform at its fall event in Cupertino, marking the company's most significant software advancement in years. The new Apple Intelligence 2.0, rolling out alongside iOS 19 and the iPhone 17 series, introduces a dramatically upgraded Siri capable of multi-step reasoning, on-screen context awareness, and deep integration with third-party apps.

Chief Executive Tim Cook described the launch as 'the beginning of a new era for Apple,' emphasizing that all AI processing occurs on-device or in the company's Private Cloud Compute infrastructure, designed to protect user privacy. Analysts welcomed the message, with Wedbush Securities raising its price target on AAPL to \$280, citing an accelerating upgrade cycle for the iPhone 17 Pro models.

The company's Services segment, which generated \$96.17 billion in revenue in fiscal year 2025, is expected to benefit from new AI-powered App Store features and a premium Apple Intelligence Pro tier priced at \$19.99 per month, bundled with iCloud+. Analysts at Goldman Sachs estimate the AI subscription offering could add \$8.12 billion in incremental annual revenue by fiscal 2027.

On the hardware front, the iPhone 17 lineup features Apple's A19 Pro chip, manufactured on TSMC's second-generation 3nm process. The chip delivers a 30% improvement in CPU performance and 40% better neural engine throughput compared to the A18 Pro. Pre-order demand in the first 72 hours exceeded that of the iPhone 16 by an estimated 15-18%, according to supply chain sources cited by analysts.

Apple also announced new Mac Studio and Mac Pro configurations powered by the M5 Ultra chip, and refreshed the Apple Watch Series 11 with blood pressure monitoring capabilities a feature regulators in the US, EU, and select Asian markets approved earlier this year. The wearables category, which contributed \$24.29 billion to fiscal 2025 revenue, is expected to see renewed growth as the health-monitoring capabilities drive upgrades in the installed base.

Looking ahead, Apple guided for fiscal Q1 2026 revenue of \$124.128 billion, slightly ahead of consensus estimates of \$122 billion. The company also raised its quarterly dividend by 10% to \$0.27 per share and expanded its share repurchase program by an additional \$100 billion, bringing cumulative repurchases since 2012 to over \$700 billion.

#AAPL #Apple Intelligence #AI #iPhone 17 #Services #A19 Pro #Apple Watch

Tech Markets Weekly For research and AI/RAG pipeline use only. Financial data sourced from SEC EDGAR public filings.